

## Solution Requirements

|               |              |
|---------------|--------------|
| Date          | 27 June 2026 |
| Team ID       |              |
| Project Name  | Smart Lender |
| Maximum Marks | 4 Marks      |

Define Functional and Non-Functional Requirements:

- Functional Requirements (FR) define specific behaviors, functions, or features of the system (What the system should do).
- Non-Functional Requirements (NFR) specify the criteria that judge the operation of a system, rather than specific behaviors (How the system should be).

Step 1: Functional Requirements (FR)

| S.No | Requirement Category | Requirement Description                                                                                                                                                       | Priority (High/Medium/Low) |
|------|----------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| 1    | Authentication       | Bank credit officers and financial analysts securely log in using username and password to access the Smart Lender system.                                                    | High                       |
| 2    | Authorization levels | The system provides rolebased access. Credit Officers can evaluate loan applications, Financial Analysts can view reports, and Administrators can manage users and ML models. | High                       |

|   |                                   |                                                                                                                                                                                      |        |
|---|-----------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|
| 3 | External interfaces               | The application interacts with the trained XGBoost model, Flask backend, IBM Cloud platform, and applicant database for prediction and storage.                                      | High   |
| 4 | Transactions processing           | The system accepts applicant details, validates the data, predicts loan approval using the ML model, and stores the prediction results in the database.                              | High   |
| 5 | Reporting                         | Generate loan approval reports, prediction summaries, applicant history, approval/rejection statistics, and model performance reports.                                               | Medium |
| 6 | Business rules, etc.              | Applicants with good credit history and sufficient income have higher approval probability. Loan eligibility is determined based on applicant details and the trained XGBoost model. | High   |
| 7 | Compliance to laws or regulations | Ensure applicant data privacy and secure storage by following banking security guidelines and applicable data protection standards.                                                  | High   |

|   |       |                                                                                                                          |        |
|---|-------|--------------------------------------------------------------------------------------------------------------------------|--------|
| 8 | Other | Provide a user-friendly web interface that instantly displays loan approval or rejection after prediction.<br><br>Medium | Medium |
|---|-------|--------------------------------------------------------------------------------------------------------------------------|--------|

### Step 2: Non-Functional Requirements (NFR)

| S.No | NFR Category               | Requirement Description                                                                                                    | Target Metric/ Acceptance Criteria               |
|------|----------------------------|----------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------|
| 1    | Performance & Speed        | The system should generate loan predictions quickly after applicant details are submitted.                                 | `< 500ms` under normal load                      |
| 2    | Scalability                | The application should support multiple users submitting loan applications simultaneously.                                 | Supports 1000+ concurrent users                  |
| 3    | Security & Data Privacy    | Applicant information must be protected using secure authentication, encrypted communication, and secure database storage. | HTTPS, encrypted data transmission, secure login |
| 4    | Reliability & Availability | The Smart Lender application should remain available for banking operations with minimal downtime.                         | 99.5% uptime                                     |

|   |                           |                                                                                                                                            |                                            |
|---|---------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------|
| 5 | Usability & Accessibility | The application should have a simple, responsive interface that is easy for applicants and banking staff to use.                           | Responsive design and intuitive navigation |
| 6 | Other                     | The system should be easy to maintain, update with new ML models, and deploy on IBM Cloud or other cloud platforms.                        | Modular Python-Flask architecture          |
| 7 | <b>Model Accuracy</b>     | The underlying classifier must have sufficient precision and recall in detecting credit default risk based on the historical training set. | >80% test accuracy                         |